

North American Startup Funding Spikes To Close 2024

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North American venture funding spiked in the final quarter of 2024, closing out an up year for startup investment driven by [continued momentum around artificial intelligence](#), Crunchbase data shows.

Altogether, investors put \$61.9 billion into U.S. and Canadian startups at seed through growth stage in the fourth quarter. It was the highest quarterly tally in nearly two years, with the strongest pickup seen at late stage.

For all of 2024, meanwhile, total investment was just over \$184 billion — up 21% from the prior year.

For perspective, below we charted out total investment, color-coded by stage, for the past 12 quarters.

North America Venture Dollar Volume Through Q4 2024

	Angel-Seed	Early Stage	Late Stage	Technology Growth
	QoQ Change [%]		YoY Change [%]	
Overall Dollar Volume	48%		96%	

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The funding gains were driven by larger average deal sizes rather than a rise in total rounds.

Mega-rounds for hot AI companies in particular drove tallies higher. Meanwhile, the number of reported startup financings 1 in Q4 actually declined to the lowest level in years, as charted below.

North America Venture Deal Volume Through Q4 2024

	QoQ Change (%)	YoY Change (%)
Overall Deal Volume	-26%	-37%

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Funding data for North America reflects what we saw in our [global report](#): Clearly, 2024 was the breakout year for investment in AI companies. This was particularly evident in Q4, with an estimated 62% of all North American startup funding going to companies in the AI space, per Crunchbase data.

Below, to give a sense of the magnitude of the Q4 AI investment boom, we charted out investment to the space over the past three years.

North America Funding To AI

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As AI unicorns mature, we're also seeing more funding going into later-stage deals. While late- and growth-stage dealmaking was up markedly in Q4, early- and seed-stage dealmaking was flat to down.

Looking at exits, that other all-important measure of startup investment success, the picture is also mixed. While the past quarter wasn't phenomenal on this front, we did see some large acquisitions and successful IPOs involving venture-backed companies. Given the [huge pipeline](#) of current and onetime unicorns, the hope is that 2025 will bring more of a pickup in exit activity.

Below, we take a closer look at investment by stage as well as noteworthy exits for Q4.

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Late stage and technology growth

We'll start with late- and technology growth-stage, since that's where most of the money goes.

This was particularly the case in Q4, with \$45.9 billion going to investment at this stage — nearly three-fourths of all startup funding. Although deal counts were fairly flat, total investment hit the highest point of the year by far, as charted below.

North America Late-Stage & Technology Growth Investment Through Q4 2024

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For the full year, just over \$107 billion went to late- and growth-stage dealmaking. That's an increase of more than 25% from the 2023 total of \$85 billion.

For Q4 2024, roughly half of funding at this stage went to just three companies: cloud data platform [Databricks](#) and generative AI startups [OpenAI](#) and [xAI](#). Databricks [landed a \\$10 billion round](#), while OpenAI and xAI picked up [\\$6.6 billion](#) and [\\$6 billion](#), respectively.

Trailing behind was [Anthropic](#), known for its AI chatbot Claude, which pulled in a [\\$4 billion November financing](#) backed by [Amazon](#).

Early stage

Early stage dealmaking was more muted in Q4, with \$13 billion in total investment, per Crunchbase data. It was the lowest quarterly tally of the year for both investment and deal count, as charted below.

North America Early-Stage Investment Through Q4 2024

[crunchbase](#)

Even as total investment dipped, however, some giant deals still got done. At Series A, the largest round of the quarter went to Silicon Valley fusion power startup [Pacific Fusion](#), which secured \$900 million in an October financing.

After that, artificial intelligence companies dominated among the largest funding recipients. This included [Poolside](#), an AI platform for writing code that picked up a [\\$500 million Series B](#), and [Physical Intelligence](#), a

developer of foundational models with robotics applications that landed a [\\$400 million Series A](#).

Seed stage

Reported seed-stage investment declined in Q4, with total funding estimated at \$3.1 billion. That's a slight decline from the prior quarter, and the lowest seed funding total in years.

Deal counts for the quarter also declined to a multiyear low, while the average round size increased some. For a bigger picture view, we charted out round and investment totals at seed for the past five quarters below.

North America Seed And Angel Investment Through Q4 2024

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Overall, what we're seeing at seed stage provides a bearish contrast to the overall startup investment numbers across stages, which look pretty robust. It seems the trend among startup backers of late is to pile into companies with established momentum, with more risk aversion toward brand-new upstarts.

That said, we did see some exceptionally large seed rounds, many of them focused around — you guessed it — artificial intelligence. For instance, Toronto-based [Moonvalley](#), a startup founded in 2023 focused on cinematic

AI applications, picked up \$70 million in November. And [/dev/agents](#), a San Francisco startup focused on building an operating system for AI agents, pulled in \$56 million.

Exits

As for exits, while it wasn't the most rollicking quarter, we did see some large public market debuts and acquisitions.

IPOs

In the IPO arena, there was no major pickup in public offerings to close out the year. However, we did see one much-anticipated unicorn debut as [ServiceTitan](#), a platform for home services providers, [began trading](#) on [Nasdaq](#) in December and was recently valued around \$9 billion.

Autonomous driving technology developer [Pony.ai](#) delivered the [second-biggest IPO](#) of the quarter, snagging a market cap around \$5.5 billion.

Several biotech and healthcare companies also made their debuts, including [Upstream Bio](#), a developer of asthma treatments, [Ceribell](#), focused on EEG technology, and [CAMP4 Therapeutics](#), a developer of therapeutics to restore gene expression.



Acquisitions

We also saw some good-sized acquisitions in Q4, particularly in the healthcare area.

In the largest startup M&A deal of the quarter, [Carebridge](#), a Nashville, Tennessee-based home health provider, was acquired for \$2.7 billion by [Elevance Health](#). Runner-up was pharma giant [AbbVie](#)'s \$1.4 billion purchase of [Aliada Therapeutics](#), a developer of therapies for diseases of the central nervous system.

Another pharma deal that could eventually yield a large payout is [Merck](#)'s acquisition of brain cancer treatment developer [Modifi Bio](#) for \$30 million upfront and up to \$1.3 billion in milestone-based payments.

As for tech, two standout deals were [ADP](#)'s acquisition of workforce management software provider [WorkForce Software](#) for \$1.2 billion, and [Stripe](#)'s purchase of stablecoin startup [Bridge](#) for \$1.1 billion.

Below, we charted eight notable deals of the quarter.



Adieu, 2024

As we bid adieu to 2024, those of us who make a living spotting trends amid mountains of data can feel grateful that this year was pretty straightforward. The big, overarching startup investment trend of the year was, of course, AI. That's where the lion's share of funding went, and, in the final quarter of the year, investor enthusiasm for the space only intensified.

So, will 2025 bring us more of the same? By some measures, likely yes.

For instance, there's no indication yet that startup investors intend to back away from AI. And given the high cost of building and scaling transformative companies in the space, we'll likely see continued appetite for mega-sized rounds.

In other areas of startup investment, however, we could see some winds of change in the new year. A resurgence in well-received IPO activity would certainly be a welcome development. It'd also be nice to get a rebound for some of the less AI-adjacent startup sectors for which investment remains far, far below peak levels.

Related reading

- [Startup Funding Regained Its Footing In 2024 As AI Became The Star Of The Show](#)
- [The Largest AI Startup Funding Deals Of 2024](#)
- [The 49-Year Unicorn Backlog](#)
- [Databricks Raises \\$10B In 2024's Largest Venture Funding Deal](#)
- [OpenAI Raises \\$6.6B At \\$157B Valuation](#)
- [xAI Makes It Official — Raises \\$6B At \\$24B Valuation](#)
- [Amazon Doubles Down Investment In Anthropic](#)
- [AI-Coding Startup Poolside Raises Massive \\$500M Series B](#)
- [Robot Brain Startup Physical Intelligence Raises \\$400M At \\$2B Valuation](#)
- [ServiceTitan Shares Surge In First-Day Trading](#)
- [Pony.ai Shares Fall After Nasdaq Debut](#)

Methodology

This report covers funding to U.S.- and Canada-based startups. Mexico is included in our Latin America venture funding reports.

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: [Dom Guzman](#)

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1. We expect total deal counts for Q4 to rise in coming weeks and months due to rounds being added to the database sometime after they close. However, this is not expected to materially affect the overall trend of fewer deals and larger average deal sizes. ↩

Tags [AI](#) [M&A](#) [unicorn](#)